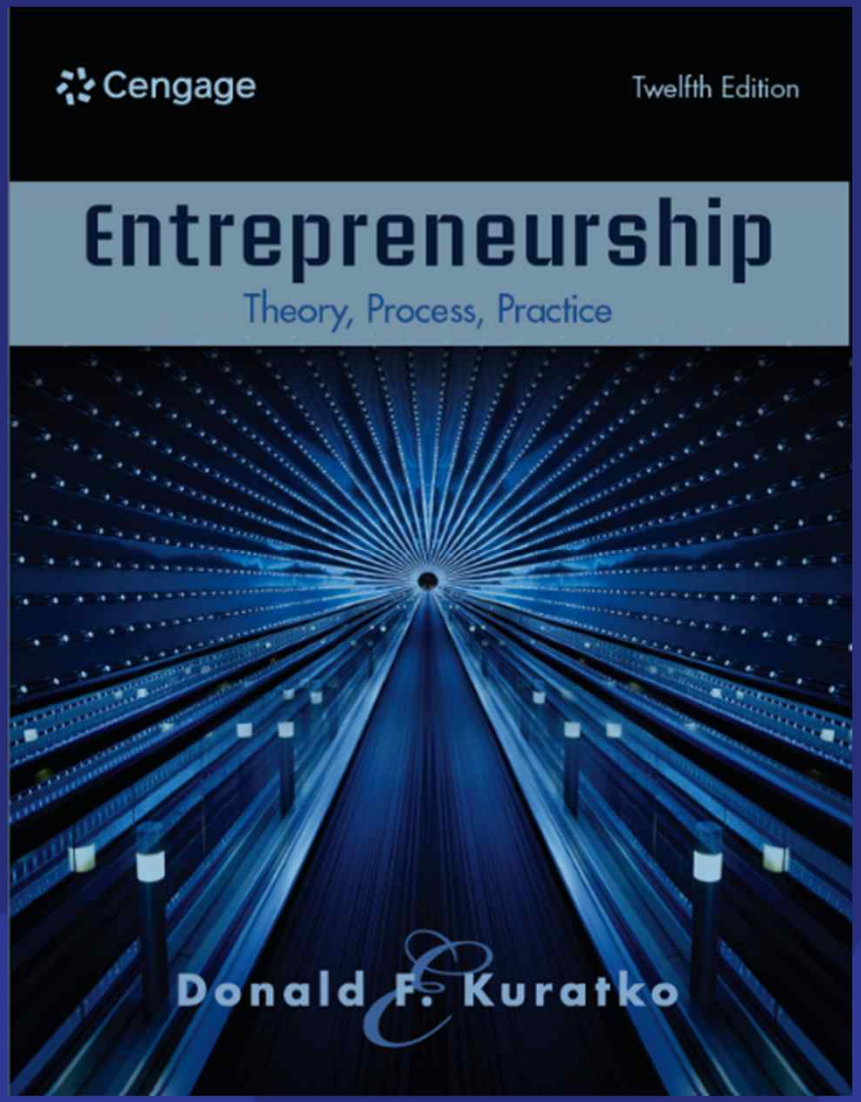



# Entrepreneurship: Theory, Process, Practice, 12e

## Chapter 6: Assessment of Entrepreneurial Opportunities

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# Icebreaker

- How can one determine if an idea could be a good new venture?

- Everyone can add ideas! Once there is a list, the class can consider which might be the most critical or important criteria.


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# Chapter Objectives

6.1 Explain the challenge of new-venture start-ups.

6.2 Review common pitfalls in the selection of new-venture ideas.

6.3 Present critical factors involved in new-venture development.

6.4 Study certain factors that underlie venture success.

6.5 Explain the critical need for an effective entrepreneurial team.

6.6 Examine why new ventures fail.

6.7 Analyze the traditional venture evaluation process methods: profile analysis, the feasibility criteria approach, and the comprehensive feasibility method.

6.8 Highlight the contemporary venture evaluation methods: design methodology and the Lean Start-Up methodology.

6.9 Present the importance of new-venture legitimacy and unique strategies for the differing audiences.


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# The Challenge of New-Venture Start-Ups

- New-Venture Formation
  - The number of new-venture start-ups has been consistently high at reports of more than 400,000 new firms in the United States every year since 2010.
- Ideas for Potential New Businesses
  - The U.S. Patent Office currently receives more than 600,000 patent applications per year.

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# Components of New-Venture Motivation

1. The need for approval
2. The need for independence
3. The need for personal development
4. Welfare (philanthropic) considerations
5. Perception of wealth
6. Tax reduction and indirect benefits
7. Following role models

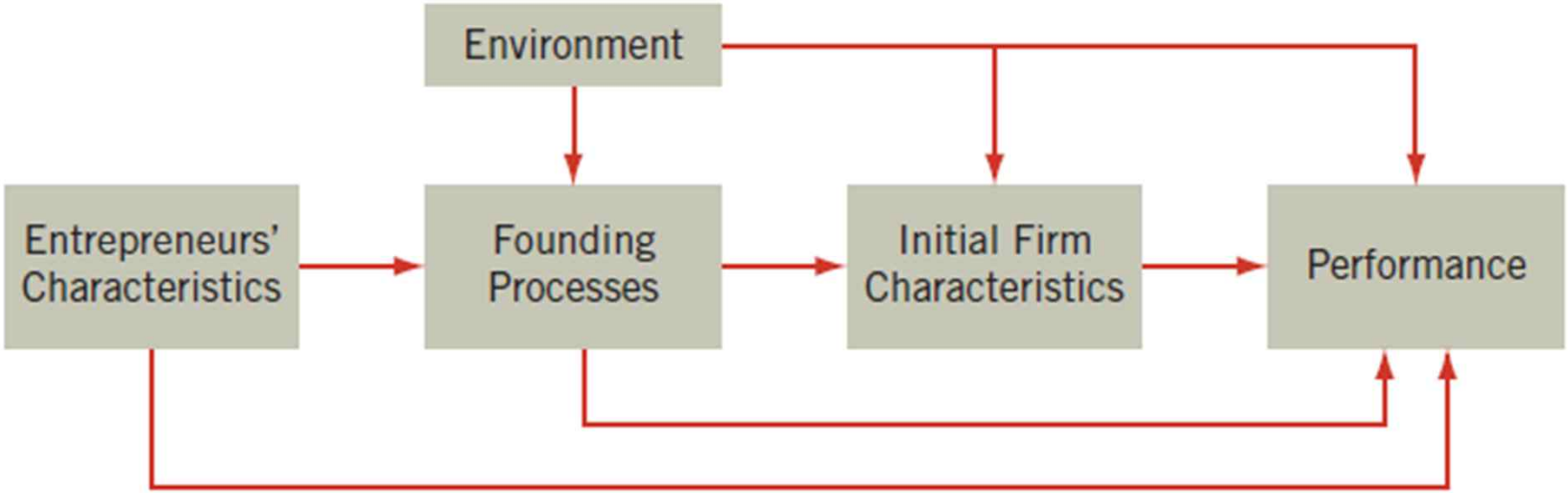
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# Reasons for Starting a Venture

- Entrepreneurial Motivations
  - Personal characteristics
  - The environment
  - The venture
- Successful Start-Up Characteristics
  - More aggressive in making their business real
  - Undertake more activities than others
  - Act with more intensity
  - Make use of professional advice
  - Develop more detailed business plans
  - Obtain legitimacy with early stakeholders

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# The Elements Affecting New-Venture Performance




***Source*:** Arnold C. Cooper, "Challenges in Predicting New Firm Performance," *Journal of Business Venturing* 8, no. 3 (1993): 243.

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# Pitfalls in Selecting New Ventures (1 of 2)

- Lack of objective evaluation: all ideas need rigorous review.
- No real insight into the market: need to understand the timing of product introduction and the product life cycle.
- Inadequate understanding of technical requirements: unexpected technical difficulties can be costly and time consuming.


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# Pitfalls in Selecting New Ventures (2 of 2)

- Poor financial understanding: the needed financing is often underestimated.
- Lack of venture uniqueness: should provide a product or service that is superior to that of the competition.
- Ignorance of legal issues: need to be aware of safety requirements, patents, trademarks, and other legal issues.


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# Group Activity 6-1

- Work in groups of two.
- Each person should write down three business or product ideas. These could be real or made-up. They do not need to be reasonable.
- Trade ideas and evaluate each one you received based on what might be the challenge with introducing that idea. Select the one from the list that you believe is most viable.
- Trade back and share insights and thoughts.


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# Phases in New-Venture Start-Ups

- Pre-start-Up Phase
  - Begins with an idea for the venture and ends when the doors are opened for business.
- Start-Up Phase
  - Commences with the initiation of sales activity and the delivery of products and services, and ends when the business is firmly established and beyond short-term threats to survival.
- Post-start-Up Phase
  - Lasts until the venture is terminated or the surviving organizational entity is no longer controlled by an entrepreneur.

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# A New-Venture Idea Checklist

These are general questions. More tailored assessments are available

| **Venture Feasibility** |
|---|
| 1. Is the concept possible? |
| 2. Is the concept legal? |
| **Value Proposition** |
| 1. Identify the specific competitive advantages of the concept? |
| 2. What is unique about this venture idea? |
| 3. Are the unique advantages sustainable? |
| **Potential Market** |
| 1. What is the market niche? |
| 2. Who would be the specific customers targeted? |
| 3. Is this a reachable and reasonable customer market? |
| **Marketing the Venture** |
| 1. What is the estimated share of market will the venture capture? |
| 2. How will sales be accomplished? |
| 3. Pricing? How does the price compare to competitors? |
| 4. What are the distribution channels—retail, online, social media? |

| **Operations of the Venture** |
|---|
| 1. What personnel are needed? |
| 2. Describe the operational procedures. |
| 3. What is the preferred location? |
| **Venture Management** |
| 1. What is the background and experience of the lead entrepreneur? |
| 2. Explain the qualifications of each key person on the management team? |
| 3. How will each person be compensated? |
| **Venture Financing** |
| 1. How much funding will be needed? |
| 2. What sources of funding will be pursued? |
| **Competition & Risks** |
| 1. What is the nature of the competition? |
| 2. Are there specific risks inherent in this venture? |

***Source***: Karl H. Vesper, *New Venture Strategies* (Revised Edition), 1st Edition, © 1990. Reprinted by permission of Pearson Education, Inc., Upper Saddle River, NJ.


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# Critical Factors for New-Venture Development (1 of 2)

1. **Uniqueness**
   - Range can be considerable, extending from routine to highly nonroutine.
2. **Investment**
   - Capital investment to start a new venture can vary from less than $100,000 in some industries to millions of dollars in other industries.
3. **Growth of Sales**
   - Lifestyle ventures, small profitable ventures, high-growth ventures


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# Critical Factors for New-Venture Development (2 of 2)

4. **Product Availability**
   - Availability of a salable good or service at the time the venture opens its doors.
   - Problems can occur because the product or service is still in development and needs further modification or testing. For example, “bugs” in a software firm.
5. **Customer Availability**
   - A critical consideration is how long it will take to determine who the customers are, as well as their buying habits.


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# Developing an Effective Entrepreneurial Team

- **Entrepreneurial team** is critical to successful introduction of new venture.
- Collaboration among team members is critical.
- Team should be considered as a dynamic entity that is continually reevaluated.


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# Why New Ventures Fail

**Product/Market Problems**

- Poor timing
- Product design problems
- Inappropriate distribution strategy
- Unclear business definition
- Overreliance on one customer

**Financial Difficulties**

- Initial undercapitalization
- Assuming debt too early
- Venture capital relationship problems

**Managerial Problems**

- Concept of a team approach
- Human resource problems

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# Research on Why New Ventures Fail

One study found dominant problems at start-up related to sales.

In the **growth stage**, sales and regulatory problems are likely.

One study found **internal problems** related to capital and cash. External problems related to customer contact, and market knowledge.

Entrepreneurs need to recognize that **start-up problems** might remain.

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# Types and Classes of First-Year Problems

1. ***Obtaining external financing***
   - Obtaining financing for growth
   - Other or general financing problems
2. ***Internal financial management***
   - Inadequate working capital
   - Cash-flow problems
   - Other or general financial management problems
3. ***Sales/marketing***
   - Low sales
   - Dependence on one or few clients/customers
   - Marketing or distribution channels
   - Promotion/public relations/advertising
   - Other or general marketing problems
4. ***Product development***
   - Developing products/services
   - Other or general product development problems
5. ***Production/operations management***
   - Establishing or maintaining quality control
   - Raw materials/resources/supplies
   - Other or general production/operations management problems
6. ***General management***
   - Lack of management experience
   - Only one person/no time
   - Managing/controlling growth
   - Administrative problems
   - Other or general management problems
7. ***Human resource management***
   - Recruitment/selection
   - Turnover/retention
   - Satisfaction/morale
   - Employee development
   - Other or general human resource management problems
8. ***Economic environment***
   - Poor economy/recession
   - Other or general economic environment problems
9. ***Regulatory environment***
   - Insurance

***Source*:** David E. Terpstra and Philip D. Olson, "Entrepreneurial Start-up and Growth: A Classification of Problems," *Entrepreneurship Theory and Practice* 17, no. 3 (Spring 1993): 19.

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# New-Venture Failure Prediction Model

1. Role of profitability and cash flows
2. Role of debt
3. Combination of both
4. Role of initial size
5. Role of velocity of capital
6. Role of control


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# Group Activity 6-2

- Each group should try to find an example of a new venture that failed. What might have been some issues with that venture?
- Alternatively, groups could try to find a product that failed and consider the reasons why.
- Share your findings with the class.

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# The Failure Process of a Newly Founded Firm

1. Extremely high indebtedness (poor static solidity) and small size
2. Too slow velocity of capital, too fast growth, too poor profitability (as compared to the budget), or some combination of these
3. Unexpected lack of revenue financing (poor dynamic liquidity)
4. Poor static liquidity and debt service ability (dynamic solidity)

***Source*:** Erkki K. Laitinen, "Prediction of Failure of a Newly Founded Firm," ***Journal of Business Venturing*** 7, no. 4 (1992): 326–28.


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# Profile Analysis Approach

- Profile Analysis Approach
  - Identifying and investigating the financial, marketing, organizational, and human resource variables prior to start-up.
  - Through a careful profile analysis, entrepreneurs can mitigate possible weaknesses that may inhibit the growth of their venture.


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# Feasibility Criteria Approach

- The use of a criteria selection list to gain insights.
  - Is it proprietary?
  - Are initial production costs realistic?
  - Are the initial marketing costs realistic?
  - Does the product have potential for very high margins?
  - Is the potential market large?
  - Is the product the first of a growing family?
  - Does an initial customer exist?
  - Are the development costs and calendar times realistic?
  - Is this a growing industry?
  - Can the product—and the need for it—be understood by the financial community?


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# Comprehensive Feasibility Approach

- Incorporates **external** factors in addition to those included in the criteria questions.
- Two main areas are **technical feasibility** and **marketability**.


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# Technical Requirements for Product and Services

- Functional design of the product and attractiveness in appearance
- Flexibility, permitting ready modification of the external features of the product to meet customer demands or technological and competitive changes
- Durability of the materials from which the product is made
- Reliability, ensuring performance as expected under normal operating conditions
- Product safety, posing no potential dangers under normal operating conditions
- Reasonable utility, an acceptable rate of obsolescence
- Ease and low cost of maintenance
- Standardization through elimination of unnecessary variety among potentially interchangeable parts
- Ease of processing or manufacture
- Ease of handling and use

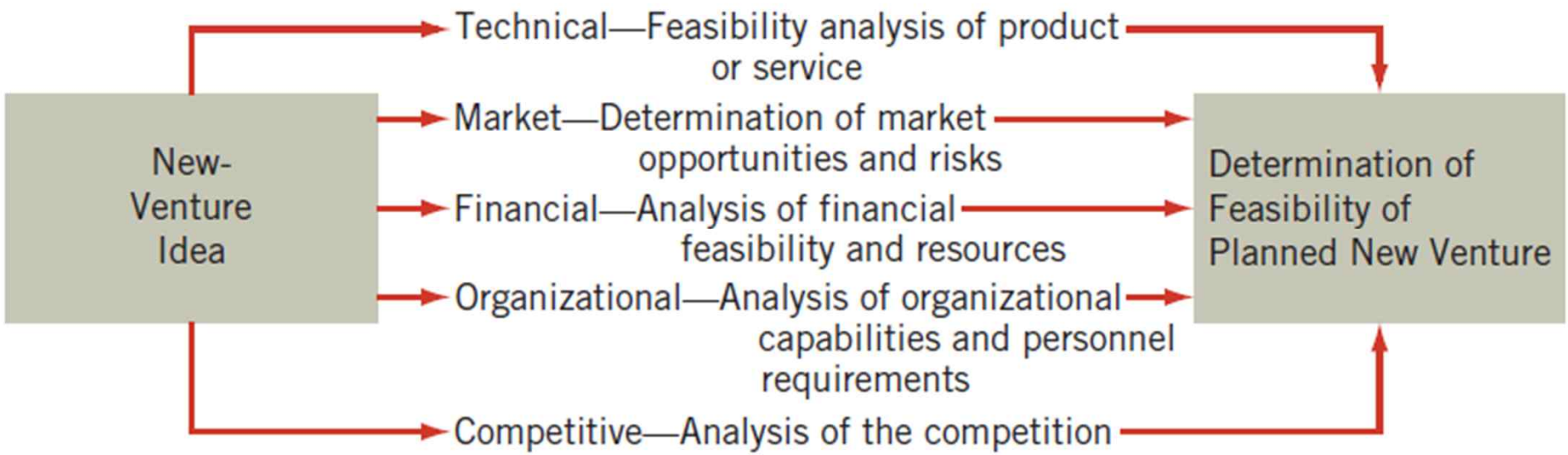

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# Marketability

- General Economic Trends
  - Various economic indicators such as new orders, housing starts, inventories, and consumer spending
- Market Data
  - Customers, customer demand patterns in seasonal variations in demand, and governmental regulations affecting demand
- Pricing Data
  - Range of prices for the same, complementary, and substitute products; base prices; and discount structures
- Competitive Data
  - Major competitors and their competitive strength

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# Key Areas for Assessing the Feasibility of a New Venture




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# The Contemporary Methodologies for Venture Evaluation (1 of 2)

- The **Design Methodology**
  - Universities are now building programs that take a general approach to design rather than concentrating it in just technical schools like architecture and engineering.
  - Takes an initial concept idea and develops a proof of concept that elicits feedback from relevant stakeholders.


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# The Design Methodology

- A process that shapes and converts ideas into form, whether that is a plan of action, an experience, or a physical thing.
- An initial concept taken and developed into a proof of concept that elicits:
  - Proof of concept feasibility
  - Proof of concept desirability
  - Proof of concept viability

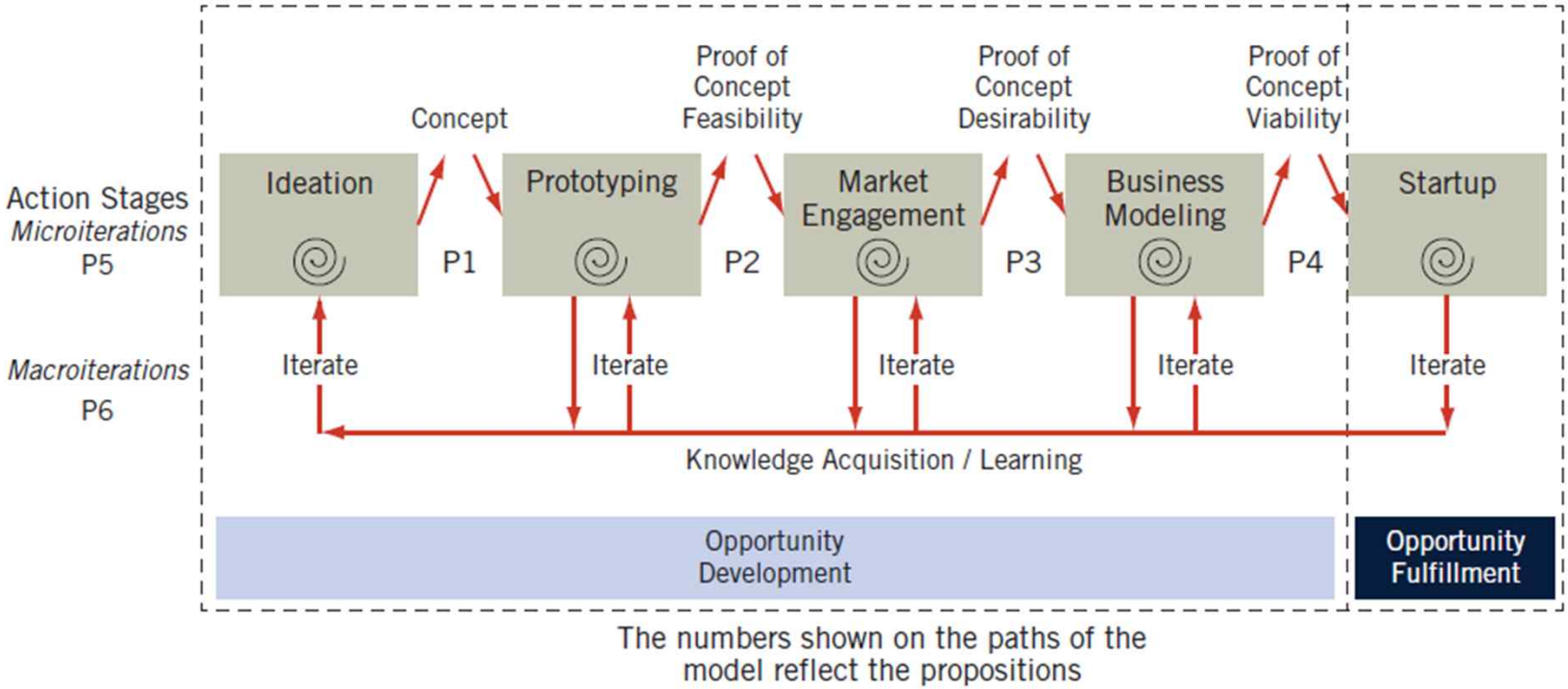

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# Design-Centered Entrepreneurship (1 of 2)

- Taking action and learning that culminates in a venture concept for further development.
- Applying a **prototyping** stage that addresses the technical issues of the concept, and ensures that a feasible product or service can be made and delivered.
- Incorporating **microiterations** (within each action stage to improve the outcome) and **macroiterations** (moving from one particular action stage back to a previous stage for further development).


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# Design-Centered Entrepreneurship (2 of 2)




***Source*:** Michael G. Goldsby, Donald F. Kuratko, Matthew R. Marvel, and Thomas Nelson, "Design-Centered Entrepreneurship: A Four Stage Iterative Process for Opportunity Development," *Journal of Small Business & Entrepreneurship 29,* no. 6 (2017): 5.

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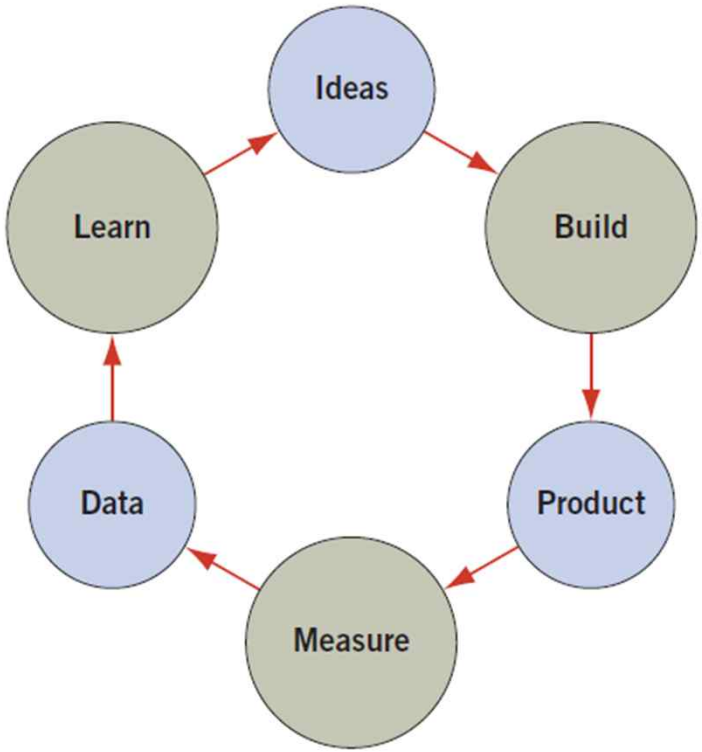
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# The Contemporary Methodologies for Venture Evaluation (2 of 2)

- The **Lean Startup Methodology**
  - Provides a scientific approach to creating early venture concepts and delivers a desired product to customers faster.
  - Reduces waste by maximizing the time and effort that goes into an incorrect hypothesis by putting a lean-focused process on the development of a product or service.
  - Entrepreneurs must work to gather and incorporate customer feedback early and often.


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# Build-Measure-Learn Feedback Loop




***Source*:** Eric Ries, *The Lean Startup: How Today's Entrepreneurs Use Continuous Innovation to Create Radically Successful Businesses* (New York, NY: Crown Business, 2011).


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# Lean Startup Terminology

- The Lean Startup Terminology
  - **Minimum Viable Product**: actionable, accessible, auditable
  - **Pivot**: a structured course correction designed to test a new fundamental hypothesis
  - Build-Measure-Learn Feedback Loop: applying the scientific method to start-up.
  - **Validated Learning**: process in which one learns by trying out an idea and then measuring the results.

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# Group Activity 6-3

- Work in groups of five or six.
- Ideally, sit in a circle, or decide on an order among the group members.
- The first person should write down a product idea, and pass it to the next person.
- The second person would add how to build it.
- The third person would add how the product might actually turn out.
- Continue with testing, test results, product modification, and then the new idea. Continue!


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# The Challenge of New-Venture Legitimacy

- **Legitimacy** enables new ventures to overcome newness and allows acquisition of resources such as financial capital, human resources, and strategic relationships.
- Basic Strategies
  - **Conformance**: new venture follows the rules
  - **Selection**: new venture in a favorable environment
  - **Manipulation**: consistency between an organization and the environment
  - **Creation**: entrepreneur creates new rules, values, models, etc.

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# Legitimacy

- External audiences must view as legitimate.
- **Institutional logics**: socially constructed practices, assumptions, rules that provide meaning.
- Audiences and their logics:
  - Governments use state logic.
  - Venture capitalists use professional logic.
  - Corporate capitalists use corporate logic.
  - Crowd-funding platforms use community logic.
  - Angel investors use market logic.


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# Mechanisms to Establish Legitimacy

- Identity mechanism such as symbols and images.
- Associative mechanism looks at who the venture is tied with.
- Organizational mechanism includes the organizational leaders and success measures.

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# Summary

Click the link to review the objectives for this presentation.

Link to Learning Objectives


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